# Corporate Finance

## Lecture 11: Long-Term Financing

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# Plan

**First Part: Raising Equity Capital**

A. Equity Financing for Private Companies (Chap. 23.1)

B. The Initial Public Offering (Chap. 23.2)

C. The Seasoned Equity Offering (Chap. 23.4)

**Second Part: Debt Financing**

A. Corporate Debt (Chap. 24.1)

B. Other Types of Debt (Chap. 24.2)

C. Bond Covenants (Chap. 24.3)

D. Repayment Provisions (Chap. 24.4)

# A. Equity financing for private companies

- The initial capital that is required to start a business is usually provided by the entrepreneur and the immediate family.
- Often, a private company must seek outside sources that can provide additional capital for growth.
  - It is important to understand how the infusion of outside capital will affect the control of the company.

# Sources of funding

- **Angel investors**:
  - Individual Investors who buy equity in small private firms.
  - Finding angels is typically difficult.
- **Venture capital firms**:
  - Offer limited partners advantages over investing directly in start-ups: Limited partners are more diversified and benefit from the expertise of the general partners.
  - But general partners charge high fees: Most firms charge 20% of any positive return they make (carried interest), and an annual management fee of about 2% of the fund's committed capital.
- **Private Equity Firms**:
  - Organized very much like a venture capital firm, but invests in equity of existing privately held firms rather than start-up companies.
  - May also initiate investments by finding a publicly traded firm and purchasing the outstanding equity, thereby taking the

# Sources of funding (con't)

- **Institutional Investors** (e.g., pension funds, insurance companies, endowments, and foundations) may invest directly in private firms or indirectly by becoming limited partners in venture capital firms.
- **Corporate Investors**: A corporation that invests in private companies. Although most other types of investors in private firms are primarily interested in the financial returns of their investments, corporate investors might invest for strategic corporate objectives, in addition to the financial returns.

# Example

## Ex-Meta AI chief Yann LeCun's AMI raises $1.03 billion for alternative AI approach

By **Katie Paul** and **Anhata Rooprai**

March 10, 2026 6:01 AM GMT+1 · Updated March 10, 2026



Yann LeCun, Vice President & Chief AI Scientist at Meta attends the 55th annual World Economic Forum (WEF) meeting in Davos, Switzerland, January 23, 2025. REUTERS/Yves Herman/File Photo Purchase Licensing Rights

**Companies**

# B. The Initial Public Offering (IPO)

- The process of selling stock to the public for the first time.
- Advantages of going public:
  - Greater liquidity: Private equity investors get the ability to diversify.
  - Better access to capital: Public companies typically have access to much larger amounts of capital through the public markets.
- Disadvantages of going public:
  - The equity holders become more widely dispersed. This makes it difficult to monitor management.
  - The firm must satisfy all the requirements of public companies (SEC filings, Sarbanes-Oxley, etc.).

# Types of offerings

- Primary vs. Secondary:
  - Primary Offering: New shares available in a public offering that raise new capital.
  - Secondary Offering: Shares sold by existing shareholders in an equity offering.
- Best-Efforts vs. Firm Commitment vs. Auction IPOs:
  - Best-Efforts: For smaller IPOs, a situation in which the underwriter does not guarantee that the stock will be sold, but instead tries to sell the stock for the best possible price. Often such deals have an all-or-none clause: either all shares are sold on the IPO or the deal is called off.
  - Firm Commitment: An agreement between an underwriter and an issuing firm in which the underwriter guarantees that it will sell all of the stock at the offer price.
  - Auction IPO: Investors place bids and the IPO price is the highest price such that the number of bids at or above that price equal the number of offered shares.

# Example

TECHNOLOGY

## Anthropic Files to Go Public in Blockbuster Year for IPOs

The filing could put the company behind Claude on a path to go public this fall

By Kate Clark and Corrie Driebusch
Updated June 1, 2026 2:42 pm ET

Aa 133 Listen (1 min)



# Largest U.S. IPOs

| Company Name | Offer Date | Exchange | Industry | Underwriter | Deal Size (in $ million) |
|---|---|---|---|---|---|
| Alibaba Group Holding | 09/18/2014 | NYSE | Technology | Credit Suisse | $21,767 |
| Visa | 03/18/2008 | NYSE | Financial | J.P. Morgan | $17,864 |
| ENEL SpA | 11/01/1999 | NYSE | Utilities | Merrill Lynch | $16,452 |
| Facebook | 05/17/2012 | Nasdaq | Technology | Morgan Stanley | $16,007 |
| General Motors | 11/17/2010 | NYSE | Capital Goods & Services | Morgan Stanley | $15,774 |
| Deutsche Telekom | 11/17/1996 | NYSE | Communications | Goldman Sachs | $13,034 |
| AT&T Wireless Group | 04/26/2000 | NYSE | Communications | Goldman Sachs | $10,620 |
| Kraft Foods | 06/12/2001 | NYSE | Consumer | Credit Suisse | $8,680 |
| France Telecom | 10/17/1997 | NYSE | Communications | Merrill Lynch | $7,289 |
| Telstra Corporation | 11/17/1997 | NYSE | Communications | Credit Suisse | $5,646 |
| Swisscom | 10/04/1998 | NYSE | Communications | Warburg Dillon Read | $5,582 |
| United Parcel Service | 11/09/1999 | NYSE | Transportation | Morgan Stanley | $5,470 |

**Source**: Renaissance Capital IPO Home

# Mechanics of an IPO

- Choose:
  - Lead Underwriter
    - The primary investment banking firm responsible for managing a security issuance.
  - Syndicate
    - A group of underwriters who jointly underwrite and distribute a security issuance.

# Top global IPO underwriters, ranked by proceeds

| | 2021 | | | | 2020 | | |
|---|---|---|---|---|---|---|---|
| **Manager** | **Proceeds (billions)** | **Market Share** | **No. of Issues** | **Manager** | **Proceeds (billions)** | **Market Share** | **No. of Issues** |
| JPMorgan | 39.58 | 9.6% | 216 | Goldman Sachs | 13.86 | 6.2% | 89 |
| Goldman Sachs | 37.81 | 9.2% | 202 | Morgan Stanley | 12.48 | 5.6% | 100 |
| Morgan Stanley | 34.98 | 8.5% | 198 | JPMorgan | 11.50 | 5.2% | 79 |
| BofA Securities Inc | 18.93 | 4.6% | 166 | BofA Securities Inc | 10.95 | 4.9% | 92 |
| Citi | 18.07 | 4.4% | 130 | China International Capital | 8.94 | 4.0% | 59 |
| CITIC | 11.95 | 2.9% | 83 | CITIC | 8.35 | 3.8% | 57 |
| Credit Suisse | 11.58 | 2.8% | 105 | Credit Suisse | 8.18 | 3.7% | 68 |
| Barclays | 10.79 | 2.6% | 83 | Citi | 7.76 | 3.5% | 66 |
| Jefferies | 9.89 | 2.4% | 104 | China Securities | 7.73 | 3.5% | 42 |
| UBS | 9.88 | 2.4% | 84 | Jefferies | 6.29 | 2.8% | 59 |
| **Top 10 Totals** | 203.46 | 49.3% | 1371 | **Top 10 Totals** | 96.04 | 43.2% | 711 |
| **Industry Totals** | 412.93 | 100.0% | 2173 | **Industry Totals** | 222.26 | 100.0% | 1368 |

*Source:* Global Equity Capital Markets Review, 2021

# Mechanics of an IPO (con't)

- SEC Filings
  - Registration Statement: Legal document that provides financial and other information about a company to investors prior to a security issuance.
- Preliminary Prospectus (Red Herring): Part of the registration statement prepared by a company prior to an IPO that is circulated to investors before the stock is offered.
- Final Prospectus: Part of the final registration statement prepared by a company prior to an IPO that contains all the details of the offering, including the number of shares offered and the offer price.

# Mechanics of an IPO (con't)

- Valuation:
  - Compute the present value of the estimated future cash flows.
  - Estimate the value by examining comparables (recent IPOs).
- Road Show: During an IPO, when a company's senior management and its underwriters travel around promoting the company and explaining their rationale for an offer price to the underwriters' largest customers, mainly institutional investors such as mutual funds and pension funds.
- Book Building: A process used by underwriters for coming up with an offer price based on customers' expressions of interest.

# Mechanics of an IPO (con't)

- Pricing the Deal and Managing Risk
  - Spread: The fee a company pays to its underwriters that is a percentage of the issue price of a share of stock.
  - When an underwriter provides a firm commitment, it is potentially exposing itself to the risk of selling the shares at less than the offer price and thus taking a loss. However, research shows that 75% of IPOs experience an increase in share price on the first day (only 9% experience a decrease).

# Mechanics of an IPO (con't)

- Pricing the Deal and Managing Risk (con't):
  - Over-Allotment Allocation (Greenshoe Provision): an option that allows the underwriter to issue more stock, usually amounting to 15% of the original offer size, at the IPO offer price.
  - Underwriters initially market both the initial allotment and the allotment in the greenshoe provision by short selling the greenshoe allotment.
    - If the issue is a success, the underwriter exercises the greenshoe option, thereby covering its short position.
    - If the issue is not a success, the underwriter covers the short position by repurchasing the greenshoe allotment in the aftermarket, thereby supporting the price.
  - **Lockup**: A restriction that prevents insiders from selling their shares for some period, usually 90-180 days, after an IPO.

# D. The Seasoned Equity Offering (SEO)

- Public firms use SEOs to raise additional equity.
  - The steps are similar as for an IPO. The main difference is that a market price for the stock already exists, so the price-setting process is not necessary.
- Two kinds of SEOs exist:
  - **Cash Offer**: new shares are offered to investors at large.
  - **Rights Offer**: new shares are offered only to existing shareholders. $\Rightarrow$ protects existing shareholders from underpricing and wealth transfer.

# An example of wealth transfer

- Alpha has no debt and only one asset of 100 EUR. Its capital consists of 50 stocks (with a unit value of 2 EUR).
- Alpha announces the issuance of 50 new stocks at a price of 1 EUR. The low price guarantees the success of the increase in capital.
- After the operation, the company has 150 EUR in assets and its liability side consists of 100 shares.
- The price of a stock is thus 1.50 EUR.
- The previous shareholders have thus lost 50 cents, which is the gain of the new shareholders.

# Rights offer: example

- If Alpha instead decides to do a rights offer, each existing shareholder receives the right to purchase an additional share for 1 EUR.
- If all existing shareholders exercise their right, the value of the company is 150 EUR and the liability side of the company consists of 100 shares with a unit value of 1.50 EUR (the stock price has thus decreased by 50 cents).
- But existing and new shareholders are the same so the loss of 50 cents per stock is compensated by the profit on the new shares.

# Price reaction

- Researchers have found that, on average, the market greets the news of an SEO with a price decline (on average, 3-5 %).
- Why?
- This can be explained with the signalling and adverse selection theory (Chap. 16):
  - A company concerned about protecting its existing shareholders will tend to sell only at a price that correctly values or overvalues the firm.
  - Thus investors infer from the decision to sell that the company is likely to be overvalued. $\Rightarrow$ Price drop at announcement of SEO.

# Price reaction (con't)

- But adverse selection cannot be the whole story:
  - A rights issue mitigates the adverse selection problem. However, the stock price decreases even in that case.
  - In addition, as for IPOs, after an SEO the stock price tends to underperform the market. This suggests that the price decrease at the announcement is insufficient, because prices continue to decline thereafter.

# Second Part: Debt Financing

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# A. Corporate debt

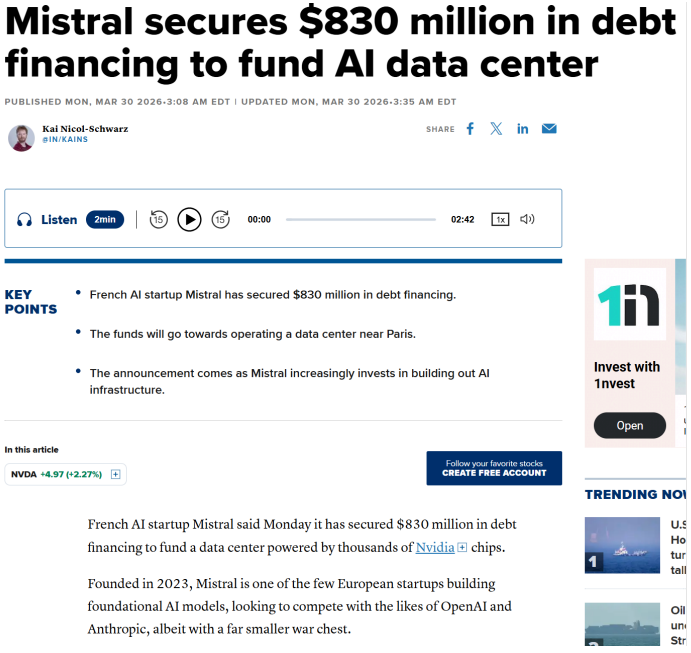
- Characteristics of a debt security:
  - Face value
  - Issue price
  - Coupon rate (fix, variable, indexed, ...)
  - Coupon payment dates
  - Maturity

# Issuance of debt

- **Private debt**: not publicly traded; larger aggregate market than the public debt market. Avoids cost of registration but has the disadvantage of being illiquid. Two segments:
  - **Term loans:** fixed term bank loans.
  - **Private placements:** bond issue that does not trade on a public market and is sold to a small group of investors.
- **Public debt**: publication of a prospectus, which specifies the details of the offering, and includes an indenture (formal debt agreement between issuer and bondholder).

# Example

## Private debt example:



**Mistral secures $830 million in debt financing to fund AI data center**

PUBLISHED MON, MAR 30 2026•3:08 AM EDT | UPDATED MON, MAR 30 2026•3:35 AM EDT

Kai Nicol-Schwarz
@IN/KAINS

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**KEY POINTS**

- French AI startup Mistral has secured $830 million in debt financing.
- The funds will go towards operating a data center near Paris.
- The announcement comes as Mistral increasingly invests in building out AI infrastructure.

In this article

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French AI startup Mistral said Monday it has secured $830 million in debt financing to fund a data center powered by thousands of Nvidia chips.

Founded in 2023, Mistral is one of the few European startups building foundational AI models, looking to compete with the likes of OpenAI and Anthropic, albeit with a far smaller war chest.

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## Public debt example:

In February 2026, Oracle Corporation raised $25 billion through a massive, multi-part investment-grade senior unsecured bond offering. This sale formed part of a broader $45 billion to $50 billion financing blueprint designed to fund Oracle Cloud Infrastructure (OCI) and artificial intelligence data center expansion. Oracle - Investor Relati... +2

### Financing Strategy & Details

- **2026 Plan:** Announced in Oracle News, targeting $45–$50 billion via a mix of debt and up to $20 billion in equity programs to protect its investment-grade credit rating. Oracle - Investor Relati... +1
- **February 2026 Offering:** Split across eight tranches featuring maturities spanning 3 to 40 years. IFR ifr-logo

# Seniority

- Most types of corporate bonds—notes (maturity less than 10 years) and debentures—are unsecured.
- Thus the bondholder's priority in claiming assets in the event of default—the bond's seniority—is important.
  - Senior vs. junior debt.
- In exchange for more risk, the investors of junior debt are promised higher yields.

# B. Other types of debt

- **Sovereign debt**: debt issued by national governments.
- An expanding market, thanks to the increase in public deficits
  - In France, the public debt at the end of 2025 amounted to 115.6% of the GDP, or 3,460.5 billion EUR.
  - Up from 112% of GDP and 3,228 billion EUR a year earlier: an increase of 232.5 billion EUR in a single year.

# Existing U.S. Treasury Securities

| Treasury Security | Type | Original Maturity |
|---|---|---|
| Bills | Discount | 4, 13, 26, and 52 weeks |
| Notes | Coupon | 2, 3, 5, 7, and 10 years |
| Bonds | Coupon | 30 years |
| Inflation indexed | Coupon | 5, 10, and 30 years |

# TIPS (Treasury-Inflation-Protected Securities)

- An inflation-indexed bond issued by the U.S. Treasury with maturities of 5, 10, and 20 years. They are standard fixed-rate coupon bonds with one difference: The outstanding principal is adjusted for inflation.
- Example:

| Time | Inflation in Year Just Ended | Par Value | Coupon Payment | + | Principal Repayment | = | Total Payment |
|---|---|---|---|---|---|---|---|
| 0 | | $1,000.00 | | | | | |
| 1 | 2% | 1,020.00 | $40.80 | | $ 0 | | $ 40.80 |
| 2 | 3 | 1,050.60 | 42.02 | | 0 | | 42.02 |
| 3 | 1 | 1,061.11 | 42.44 | | 1,061.11 | | 1,103.55 |

# Other types of debt: Asset-Backed Securities

- Securitization transforms assets in financial securities that can be traded on financial markets.
- The largest sector of the asset-backed security market is the mortgage-backed security market (i.e., assets backed by home mortgages). $\Rightarrow$ Mortgage-Backed Securities.
- **Collateralized Debt Obligations (CDO)**: A re-securitization of other asset-backed securities + Often division into tranches that are assigned different repayment priority.

# C. Bond covenants

- Restrictive clauses in a bond contract that limit the issuers from undercutting their ability to repay the bonds.
- For example, covenants may
  - Restrict the ability of management to pay dividends
  - Restrict the level of further indebtedness
  - Specify that the issuer must maintain a minimum amount of working capital
- If the issuer fails to live up to any covenant, the bond goes into default.

# D. Repayment provisions

- Issuers can repurchase outstanding bonds in the market before maturity.
- The bond can also directly allow for early repayment by including a **call** provision: **callable bonds**.
- This gives the issuer the right (but not the obligation) to retire all outstanding bonds on (or after) a specific date (the call date) for the call price.
  - Call price is generally set at or above, and expressed as a percentage of, the bond's face value.
- Firms generally call a bond issue if interest rates have fallen.
  - Issuer can lower its borrowing costs by immediately refinancing at a lower rate.
  - Note: If rates rise, there is no need to refinance.

# Top-rated US companies turn to convertible bonds as rising interest rates bite

Drive to minimise borrowing costs fuels issuance of debt typically dominated by junk-rated companies



A CenterPoint Energy facility in Houston, Texas. The utility group is one of the US investment-grade companies to have tapped the convertible market in recent months © Brandon Bell/Getty Images

**Harriet Clarfelt** and **Nicholas Megaw** in New York SEPTEMBER 26 2023

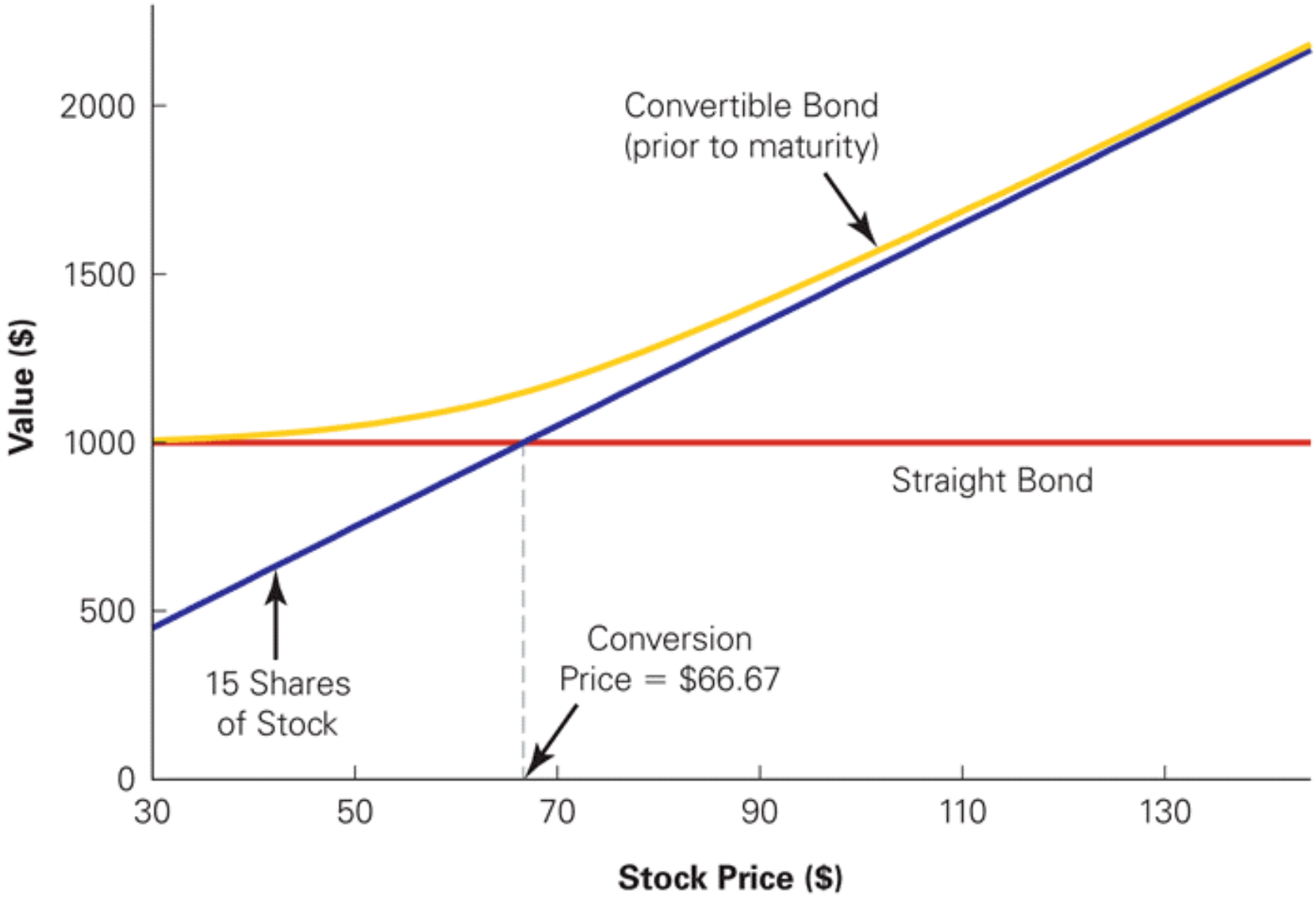
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# Bonds with options

- Bonds are commonly sold with options which give the issuer or the investor some additional rights.
- Options for the investor
  - Puttable bonds: Give the holder an option to retire or extend the bond.
  - Convertible bonds: Can be exchanged for shares of the firm's common stock.
- Options for the issuer:
  - Callable bond: Can be repurchased before the maturity date.
- Has a bond with an option a lower or higher yield than an otherwise identical bond? Why?

# Hybrid bonds: convertible bonds

- A corporate bond with a provision that gives the bondholder an option to convert each bond owned into a fixed number of shares of common stock.
- Conversion Ratio: The number of shares received upon conversion of a convertible bond, usually stated per $1000 of face value.
- Conversion Price: The face value of a convertible bond divided by the number of shares received if the bond is converted.
- Warrant: A call option written by the company itself on new stock
  - When a holder of a warrant exercises it and thereby purchases stock, the company delivers this stock by issuing new stock.
  - Convertible debt carries a lower interest rate because it has an embedded warrant.


2000
1500
1000
500
0
Value ($)
30
50
70
90
110
130
Stock Price ($)
Convertible Bond
(prior to maturity)
Straight Bond
15 Shares
of Stock
Conversion
Price = $66.67

# Quiz

- What are some of the advantages and disadvantages of going public?
- What is the difference between a cash offer and a rights offer for a seasoned equity offering?
- What happens if an issuer fails to live up to a bond covenant?
- Why does a convertible bond have a lower yield than an otherwise identical bond without the option to convert?